

Cobalt Ridge Mining Services Project Status Report: Tailings Storage Upgrade Project, January 2026

Report No. PSR-2026-003

Issued by Cobalt Ridge Mining Services, Capital Projects Group

Published 27 January 2026

Executive Summary

This project status report covers the Tailings Storage Upgrade Project of Cobalt Ridge Mining Services for the month of December 2025. It is issued monthly to the Capital Projects Committee and to the mine's tailings review board.

Construction of the main embankment raise is on schedule and within budget. The engineer of record has identified seepage at the toe of the west embankment that will require additional drainage works, and monitoring data were not uploaded to the project record for part of the month. The project status is rated green for schedule and amber for cost pending approval of the additional works.

Three findings and two recommendations are presented. The General Manager of the mine has accepted both recommendations.

Background

The Black Mesa Tailings Facility is the storage facility that receives tailings from the company's concentrator and is the only such facility on the site. The Tailings Storage Upgrade Project is a two-year capital program to raise the main embankment by twelve metres and install a new decant system. The raise will provide storage capacity to 2031.

Geotechnical design and construction supervision are provided by GeoStable Engineering, the engineer of record and a vendor engaged under a professional services agreement. Embankment construction is performed by the mine's own earthworks fleet under the engineer's supervision.

The facility is monitored by 34 vibrating wire piezometers and six inclinometers. Readings are collected weekly and are meant to be uploaded to the project record within one day of collection so that the engineer of record can review them.

Findings

Finding 1: Raising of the main embankment at the Black Mesa Tailings Facility reached 62 percent of design height, in line with the schedule. Severity: Low. The earthworks fleet placed 184,000 cubic metres of fill in December, slightly ahead of plan, and compaction testing met specification in every lift.

Finding 2: GeoStable Engineering identified seepage at the toe of the west embankment that requires an additional drainage blanket. Severity: High. The seepage was observed during the engineer's December inspection and confirmed by rising readings in three piezometers near the toe. The engineer of record has advised that the seepage does not affect stability at present but that a drainage blanket must be installed before the next lift on the west side.

Finding 3: Piezometer readings were not uploaded to the project record for 17 days in December. Severity: Medium. The readings were collected but the site technician responsible for uploads was on leave and no backup had been assigned. The engineer of record was therefore not aware of the rising toe piezometer readings until the site inspection.

Recommendations

Recommendation 1: Approve the additional drainage blanket recommended by GeoStable Engineering and reforecast the project cost. Priority: High. The drainage blanket should be designed and installed before the west side lift scheduled for March 2026, and the reforecast should be presented to the Capital Projects Committee in February.

Recommendation 2: Assign a site engineer to upload piezometer readings to the project record every day. Priority: Medium. A backup should be named for periods of leave, and the project record should generate an alert if no readings have been uploaded for three days.

Financial Impact

The approved project budget is CAD 12.8 million, approved by the Board in March 2025. Spend to date at the end of December 2025 was CAD 7,420,000, or 58 percent of the approved budget. Without the drainage works the project would finish within budget.

The additional drainage blanket cost is estimated by the engineer of record at CAD 950,000 including materials, placement and supervision. If approved, the forecast cost at completion would rise to CAD 13.6 million, and the project will request a budget increase from the contingency reserve.

Appendix

Appendix A: Cost summary. Approved budget: CAD 12.8M. Spend to date: CAD 7.42M. Drainage blanket (pending approval): CAD 0.95M. Forecast at completion with drainage blanket: CAD 13.6M.

Appendix B: Schedule summary. Main embankment raise 62 percent complete against a plan of 60 percent. Decant system design complete and procurement under way. West side lift scheduled for March 2026 subject to completion of the drainage blanket.

Appendix C: Distribution. This report is distributed to the Capital Projects Committee, the tailings review board, the General Manager and the engineer of record.